REASONING MAP

Question. Should an ESG investor count IKEA's forest projects in Brazil as risk reduction, when its main Brazilian supplier has been fined for environmental offences?

IKEA's Brazilian footprint: supplier and forest projects



Schematic, state-level positions only (not exact sites). Basemap: Highcharts map collection.

1 Nova Prata (RS): supplier Artemobili

Fined in 2018 and 2022 for environmental offences. IKEA = 66% of the supplier's Brazilian orders in 2023 [1]

2 Tapajós basin (PA) and Atlantic Forest hub (ES)

WWF projects with IKEA; partnership renewed to 2030 [3]

3 Paraná and Santa Catarina

BTG Pactual project: about 4,000 ha, announced 6 Nov 2025 [4]

2018 Supplier fined

2022 Second fine

27 Feb 2024 Disclose / ARTE investigation [1]

12 Mar 2024 IKEA: supplier not supplying now [2]

24 Sep 2025 WWF partnership renewed to 2030 [3]

6 Nov 2025 BTG Pactual, 4,000 ha [4]

1 May 2026 EU–Mercosur interim deal applied [6]

30 Dec 2026 EUDR applies to wood furniture (large firms) [5]

1 · Projects are elsewhere

The forest projects sit in the Tapajós basin and the Atlantic Forest. The supplier sits in Rio Grande do Sul. No public source links the two.

[1][3][4]; my inference on the link

2 · Risk sits at the supplier

IKEA says the supplier breached its code and no longer supplies it [2]. The EUDR tests supplier-level traceability for wood furniture from 30 Dec 2026 [5].

[2][5]

3 · What to price

Supplier-level traceability and deforestation PAI data, not project headlines. Under SFDR, a project claim alone does not show lower risk.

PAI and controversy framework of the course (my reading)

My thesis (draft). No, not on current evidence. Forest projects elsewhere do not offset supplier risk. The risk must be priced where the wood is harvested and processed.

SUMMARY

IKEA funds forest work in Brazil: WWF projects in the Tapajós basin and the Atlantic Forest [3], and a 4,000-hectare project with BTG Pactual in Paraná and Santa Catarina [4]. Its main Brazilian supplier, Artemobili, in Nova Prata (Rio Grande do Sul), was fined in 2018 and 2022, and IKEA accounted for 66% of that supplier's orders in Brazil in 2023 [1]. IKEA told the NGO that the incidents breached its supplier code and that the supplier was not supplying it as of March 2024 [2].

My view: the projects are a reputational buffer, not risk reduction. They sit in other places and do not change how the supplier's wood is audited. Supplier risk is what the EUDR will test for wood furniture from 30 December 2026 [5], and this is where an investor should look. The EU–Mercosur interim deal, applied since 1 May 2026 [6], adds a second concern: more trade in commodities can move deforestation to other places, which is my inference, not a tested result.

What would change my mind: independent evidence that IKEA's Brazilian wood is traced to the plot, and that its forest projects measurably reduce deforestation linked to its own supply.

SOURCES

[1] Disclose, 'Au Brésil, le principal fournisseur d'Ikea accusé d'atteintes à l'environnement' (26 Feb 2024): disclose.ngo/fr/article/au-bresil-le-principal-fournisseur-dikea-accuse-datteintes-a-lenvironnement (fines 2018 and 2022; IKEA = 66% of supplier's orders; USD 34.4 m in 2023, customs data).
[2] Business & Human Rights Resource Centre, 'IKEA's response on allegations of main manufacturer' (12 Mar 2024): business-humanrights.org/en/latest-news/ikeas-response-on-allegations-of-main-manufacturer-being-responsible-for-environmental-crimes/
[3] IKEA Global: WWF projects in Colombia and Brazil (7 Dec 2023): ikea.com/global/en/newsroom/sustainability/wwf-ikea-forest-degradation-colombia-brazil-231207/ ; WWF–IKEA renewal to 2030 (24 Sep 2025): ikea.com/global/en/newsroom/sustainability/wwf-and-ikea-announce-the-next-phase-of-their-year-long-partnership-250924/
[4] IKEA Global, forest investment in Brazil with BTG Pactual (6 Nov 2025): ikea.com/global/en/newsroom/corporate/inter-ikea-group-announces-forest-investment-in-brazil-251106/
[5] European Commission, EUDR application dates (30 Dec 2026, large and medium operators): environment.ec.europa.eu/topics/forests/deforestation/regulation-deforestation-free-products_en ; wood furniture HS 9403 in Annex I (secondary source, check the Annex): saral.ro/en/blog/eudr-timber-furniture-deadline-2026/
[6] Intereconomics, 'From Signature to Standstill' (21 Oct 2026): intereconomics.eu/contents/year/2026/number/3/article/from-signature-to-standstill-the-future-of-the-eu-mercosur-agreement.html
Map basemap: Highcharts map collection 2.3.3 (npm, @highcharts/map-collection).